

S E R V E D

October 30, 2017

FEDERAL MARITIME COMMISSION

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**DOCKET NO. 17-05**

**CMI DISTRIBUTION, INC.**

**v.**

**SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY  
KNOWN AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEMS LTD.**

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**ORDER DEFERRING CONSIDERATION OF MOTION FOR DEFAULT**

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On May 31, 2017, complainant CMI Distribution, Inc. (CMI) commenced this proceeding by filing a Complaint with the Secretary. CMI alleges that respondents Service by Air, Inc. (SBA), Radiant Customs Services Inc. (formerly known as SBA Consolidators, Inc.) (Radiant), and LAS Freight System Ltd. (LAS Freight) are non-vessel-operating common carriers (NVOCC) within the meaning of the Shipping Act. (Complaint ¶¶ 2-4, 8.) CMI alleges that “[b]etween April 2014 and June 2015, CMI engaged Respondents to provide transportation of more than 60 shipments . . . with Respondents from China to Illinois.” (Complaint ¶ 6.) The Complaint alleges that Respondents violated the Shipping Act of 1984 (Shipping Act or Act) on the shipments.

On July 10, 2017, CMI filed a motion for default against LAS Freight. On July 13, 2017, LAS Freight sent a letter to the Commission’s Assistant Secretary stating:

We, LAS Freight . . . and [SBA] . . . are non exclusive independent agency.

We have handled CMI shipment under SBA’s instructions to ship goods from Shanghai, China to Chicago, USA only. We have not involved any payment or service with consignee (CMI) in destination.

In response to your notice mail, Rf. Docket No.17-05, please read the attached email from SBA . . . . Again, LAS hold no business liability with the pertinent claimed [demurrage] case.

(Letter dated July 13, 2017, from LAS Freight to Assistant Secretary.) LAS Freight attached an email exchange between it and SBA to the letter. The first email from LAS Freight to SBA, "Subject: CMI's claim about demurrage billed by you in destination for 2014-2015 seafreight," states:

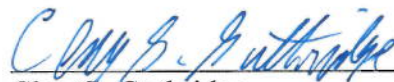
Enclosed pls find [attachments] from FMC regarding claims from CMI about demurrage billed by you in destination. We don't know why LAS has been involved? Would you pls refer FMC's letters to shed us more light on this subject for Erwin Hsu handled these cases during 2014 - 2015 who left our office.

Looking forward to hearing from you soon and thank you in advance.

(Email dated July 12, 2017, 7:38 AM from LAS Freight to SBA.) The response from SBA states: "Disregard This has been settled." (Email dated July 12, 2017, 9:22 from SBA to LAS Freight.)<sup>1</sup> The Assistant Secretary has made the letter and the emails part of the record. Although the letter and the attached emails deny liability, they do not constitute an answer to a complaint that complies with the Commission's rules. *See* 46 C.F.R. § 502.62(b)(2).

LAS Freight did not file an answer or otherwise responded to the Complaint or responded to the motion for default. On August 16, 2017, an order was issued requiring LAS Freight to file an answer and to show cause why judgment should not be entered against it. *CMI Distribution, Inc. v. Service by Air, Inc., Radiant Customs Services Inc. (f/k/a SBA Consolidators, Inc.) and LAS Freight Systems Ltd.*, FMC No. 17-05 (ALJ Aug. 16, 2017) (Notice of Default and Order for LAS Freight Systems Ltd. To Show Cause) (*CMI v. Radiant/SBA*). LAS Freight did not respond to the show cause order.

Radiant/SBA is actively defending this proceeding. It has already been determined that some of the shipments on which CMI based its Complaint were transported by water from China to ports in Canada, not to ports in the United States, and are not within the Commission's jurisdiction. *CMI v. Radiant/SBA*, FMC No. 17-05, Order at 3 (ALJ Oct. 6, 2017) (Order Granting in Part and Denying in Part Motion to Dismiss). Other information relevant to the allegations against LAS Freight may come into the record. Therefore, despite LAS Freight's failure to respond, I have decided to defer ruling on the motion for default to a later stage of this proceeding.



Clay G. Guthridge  
Administrative Law Judge

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<sup>1</sup> In a subsequent filing, Radiant/SBA state that the person who sent this email "who is not an officer, director, manager or other speaking agent for SBA, issued this email in error. He intended to state that the matter is 'pending settlement discussions.' Unfortunately, settlement did not come to fruition." (Supplemental Briefing in Further Support of Motion to Dismiss of Radiant/SBA at 2.)